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For example, the following transactions took place in the business of Rathna Kumar, who deals in textiles.

2017 January		`
1	Commenced business with capital	5,00,000
5	Bought furniture for cash	6,000
10	Purchased goods for cash	10,000
15	Bought goods on credit from Jeyanthi	25,000
18	Returned goods to Jeyanthi	2,500
20	Sold goods for cash	32,000
25	Sold goods to Elizabeth on credit	72,000
30	Paid salaries to Krishnan by cash	7,000
31	Received commission from Kumar by cash	2,800
31	Received cash from Elizabeth	22,000

The journal entries, ledger postings and trial balance for the transactions will appear as below in the books of Rathna Kumar.

In the books of Rathna Kumar

Journal entries

Date	Particulars	L.F.	Debit `	Credit `
2017 Jan 1	Cash A/c Dr. To Rathna Kumar's capital A/c (Business commenced with capital)		5,00,000	5,00,000
Jan 5	Furniture A/c Dr. To Cash A/c (Furniture purchased for cash)		6,000	6,000
Jan 10	Purchases A/c Dr. To Cash A/c (Goods purchased for cash)		10,000	10,000
Jan 15	Purchases A/c Dr. To Jeyanthi A/c (Credit purchases from Jeyanthi)		25,000	25,000
Jan 18	Jeyanthi A/c Dr. To Purchases returns a/c (Goods returned to Jeyanthi)		2,500	2,500
Jan 20	Cash A/c Dr. To Sales A/c (Goods are sold for cash)		32,000	32,000
Jan 25	Elizabeth A/c Dr. To Sales A/c (Goods sold on credit)		72,000	72,000